

Secondary Mortgage Market Players, Focus, and History

Some lenders carry their own loan portfolios (which means that they don't sell the loans they write), but most want to be able to free up their funds to make more loans. They do this by packaging loans and selling them on the secondary market, either directly to another bank or lending institution, or to Fannie Mae and Freddie Mac.

Secondary Mortgage Market Players

- **Fannie Mae** (Federal National Mortgage Association or FNMA)
- **Freddie Mac** (Federal Home Loan Mortgage Corporation or FHLMC)
- **Farmer Mac** (Federal Agricultural Mortgage Corporation)
- **Ginnie Mae** (Government National Mortgage Association or GNMA)
- Lending institutions that buy loans from other lenders.

Mortgage-Backed Securities

Fannie Mae, Freddie Mac, and Farmer Mac purchase mortgage loans from lenders and package (aka pool) them into mortgage-backed securities (MBSs) which are then sold to investors.

Areas of Focus

- **Fannie Mae** can purchase any type of loan, but primarily deals with conventional loans from commercial banks.
- **Freddie Mac** can purchase any type of loan, but primarily deals with conforming conventional loans from smaller lending institutions (thrifts).
- **Farmer Mac** purchases agricultural loans and loans from rural lenders.
- **Ginnie Mae** guarantees mortgage-backed securities (MBSs) that contain loans insured or guaranteed by a U.S. government agency. Does not purchase loans.

The History of Fannie, Freddie, and Ginnie

Fannie Mae was established in 1938 and originally bought FHA-insured loans from individual lenders, grouped them together (packaged, or pooled, them), and sold them as **mortgage-backed securities** to investors.

The Housing and Urban Development Act of 1968 split Fannie Mae into two companies. Fannie Mae itself continued to purchase conventional mortgage loans. Ginnie Mae was created not to purchase loans, but to ensure the payment of principal and interest to those who invest in government loan packages (primarily FHA-insured, VA-guaranteed, and USDA loans). Ginnie Mae is a government corporation under the Department of Housing and Urban Development (HUD) and is the only secondary market participant backed by the full faith and credit guarantee of the federal government.

Two years later, Congress created Freddie Mac. Any financial institution with deposits that are insured by a federal government agency can sell mortgages to Freddie Mac.

Both Fannie Mae and Freddie Mac were taken over by the federal government in the wake of the housing crisis of 2007-2008 and are both government-sponsored enterprises (GSEs). Both lost not only funds, but also investor confidence.

Farmer Mac

Congress created Farmer Mac to establish a secondary market for agricultural mortgage and rural utilities loans.